HOWDEN JOINERY PEOPLE SERVICES LIMITED

DIRECTORS' REPORT AND FINANCIAL STATEMENTS

FOR THE 52 WEEKS ENDED 25 DECEMBER 2010

REGISTERED NUMBER: 5799085

MONDAY
AOR3VT7N
A17 11/04/2011 35
COMPANIES HOUSE

HOWDEN JOINERY PEOPLE SERVICES LIMITED
DIRECTORS' REPORT

The directors have pleasure in submitting their annual report and the audited financial statements of the Company for the 52 weeks to 25 December 2010 *(2009 52 weeks ended 26 December 2009)*

BUSINESS REVIEW AND PRINCIPAL ACTIVITIES

The Company changed its name from Group People Services Limited to Howden Joinery People Services Limited on 15 September 2010 The Company is a wholly owned subsidiary of Howden Joinery Group Plc (formerly known as Galiform Plc) and operates as part of the Howden Joinery Group Plc group (the "Group") The Company's principal activities are providing and managing employees for other Group companies There have not been any significant changes in the Company's principal activities in the period under review The directors are not aware, at the date of this report, of any likely major changes in the Company's activities in the next financial period

As shown in the Company's profit and loss account, the Company's profit after tax was £0 9m *(2009 profit of £1 8m)* The directors recommend that no dividend be paid *(2009 nil)* The directors are satisfied with the progress of the business

The balance sheet shows the Company's financial position at the end of the year Details of amounts owed by the parent Company and fellow subsidiary companies are shown in note 6

The Group manages its operations on a Group basis For this reason, the Company's directors believe that further key performance indicators specific to the Company are not necessary or appropriate for an understanding of the development, performance or position of the business The performance of the Group, which includes this Company, is discussed in the Group's Annual Report which is available at http //www howdenjoinerygroupplc com and which does not form part of this Report

The Company, as part of the Group, recognises the importance of its environmental responsibilities, monitors its impact on the environment, and designs and implements policies to reduce any damage that might be caused by the group's activities The Company operates in accordance with Group policies, which are described in the Group's Annual Report, which does not form part of this Report

FINANCE RISKS AND OTHER PRINCIPAL RISKS AND UNCERTAINTIES

The Company has no debt, and therefore no interest rate exposure The Company does not have a bank account, all its cash management, payments and receipts are carried out by fellow Howden Joinery Group Plc Group companies As such, the Company's financial risk management objectives and policies are those of the Howden Joinery Group Plc Group, which are contained in the Group's Annual Report, which does not form part of this Report

The Company has no other significant risks and uncertainties, other than those risks that it shares with the Howden Joinery Group Plc Group, given that the Company's principal activities are providing and managing employees for other Howden Joinery Group Plc Group companies The Group's risks are discussed in the Group's Annual Report, which does not form part of this Report

GOING CONCERN

After making enquiries and taking into consideration the profitability and financial position of the Company, the directors have formed a judgement, at the time of approving the financial statements, that there is a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future For this reason the directors continue to adopt the going concern basis in preparing the financial statements

EMPLOYEES

Details of the number of employees and related costs can be found in note 3 to the financial statements

Applications for employment by disabled persons are always fully considered, bearing in mind the aptitudes of the applicant concerned In the event of members of staff becoming disabled every effort is made to ensure that their employment with the Company continues and that appropriate training is arranged It is the policy of the Company that the training, career development, and promotion of disabled persons should, as far as possible, be identical with that of other employees

The Company participates in the Group's policies and practices to keep employees informed on matters relevant to them as employees through regular meetings Employee representatives are consulted regularly on a wide range of matters affecting their interests

HOWDEN JOINERY PEOPLE SERVICES LIMITED
DIRECTORS' REPORT (cont'd)

DIRECTORS

The directors of the Company who served throughout the period, except as noted, were

R Fenwick
J French
M Robson

POLITICAL AND CHARITABLE CONTRIBUTIONS

The Company did not make any charitable or political donations during the current or prior period

AUDITORS

Each of the persons who is a director at the date of approval of this annual report confirms that

- so far as the director is aware, there is no relevant audit information of which the Company's auditors are unaware, and
- the director has taken all the steps he/she ought to have taken as a director in order to make himself/herself aware of any relevant audit information and to establish that the Company's auditors are aware of that information

The confirmation is given and should be interpreted in accordance with the provisions of s418 of the Companies Act 2006

Deloitte LLP have indicated their willingness to be reappointed for another term and appropriate arrangements have been put in place for them to be reappointed as auditors in the absence of an Annual General Meeting

REGISTERED OFFICE

The Company's registered office is International House, First Floor, 66 Chiltern Street, London W1U 4JT

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations
Company law requires the directors to prepare financial statements for each financial year Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law) Under company law, the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period In preparing these financial statements, the directors are required to

- select suitable accounting policies and then apply them consistently,
- make judgements and estimates that are reasonable and prudent,
- state whether applicable accounting standards have been followed, and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business

The directors are responsible for keeping adequate accounting records which are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and to enable them to ensure that the financial statements comply with the Companies Act 2006 They are also responsible for safeguarding the assets of the Company and hence for taking responsible steps for the prevention and detection of fraud and other irregularities

By Order of the Board

C Bishop, Secretary
4 April 2011

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF HOWDEN JOINERY PEOPLE SERVICES LIMITED

We have audited the financial statements of Howden Joinery People Services Limited for the 52 weeks ended 25 December 2010, which comprise the Profit and Loss Account, the Balance Sheet and the related notes 1 to 12 The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice)

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006 Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed

Respective responsibilities of directors and auditor

As explained more fully in the Directors' Responsibilities Statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view Our responsibility is to audit and express an opinion on the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland) Those standards require us to comply with the Auditing Practices Board's Ethical Standards for Auditors

Scope of the audit of the financial statements

An audit involves obtaining evidence about the amounts and disclosures in the financial statements sufficient to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or error This includes an assessment of whether the accounting policies are appropriate to the company's circumstances and have been consistently applied and adequately disclosed, the reasonableness of significant accounting estimates made by the directors, and the overall presentation of the financial statements

Opinion on financial statements

In our opinion the financial statements

- give a true and fair view of the state of the company's affairs as at 25 December 2010 and of its profit for the 52 weeks then ended,
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice, and
- have been prepared in accordance with the requirements of the Companies Act 2006

Opinion on other matter prescribed by the Companies Act 2006

In our opinion the information given in the Directors' Report for the financial year for which the financial statements are prepared is consistent with the financial statements

Matters on which we are required to report by exception

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us, or
- the financial statements are not in agreement with the accounting records and returns, or
- certain disclosures of directors' remuneration specified by law are not made, or
- we have not received all the information and explanations we require for our audit

John Adam (Senior statutory auditor)
for and on behalf of Deloitte LLP
Chartered Accountants and Statutory Auditors
London, United Kingdom

4 April 2011

HOWDEN JOINERY PEOPLE SERVICES LIMITED
PROFIT & LOSS ACCOUNT
FOR THE 52 WEEKS ENDED 25 DECEMBER 2010

	Notes	**52 Weeks to 25 December 2010 £000**	52 Weeks to 26 December 2009 £000
Turnover	1	**67,100**	60,848
Cost of sales		**(65,833)**	(58,338)
Profit on ordinary activities before taxation	2	**1,267**	2,510
Tax on profit on ordinary activities	5	**(284)**	(663)
Profit for the financial period		**983**	1,847

The results for the current and prior periods are derived from continuing operations

There are no recognised gains or losses in the current or prior period, other than those included in the profit and loss account, and therefore no statement of recognised gains and losses is presented

HOWDEN JOINERY PEOPLE SERVICES LIMITED
BALANCE SHEET AT 25 DECEMBER 2010

	Notes	25 Dec 2010 £000	25 Dec 2010 £000	26 Dec 2009 £000	26 Dec 2009 £000
Current assets					
Debtors	6	**4,762**		4,170	
Current liabilities					
Creditors amounts due within one year	7	**(280)**		(671)	
Net current assets			**4,482**		3,499
Net assets			**4,482**		3,499
Capital and reserves					
Called up share capital	8		**-**		-
Profit and loss account	9		**3,071**		2,266
Share-based payments reserve			**1,411**		1,233
Shareholders' funds	9		**4,482**		3,499

Approved and authorised for issue by the Board of Directors and signed on its behalf by

Mark Robson
Director
4 April 2011

1. ACCOUNTING POLICIES

The accounting policies summarised below have all been applied consistently throughout the current and prior period

BASIS OF PREPARATION

The financial statements have been prepared under the historical cost convention and in accordance with applicable United Kingdom accounting standards The financial statements have been prepared on a going concern basis as discussed in the Directors' Report

Under Financial Reporting Standard 1 (revised 1996), the Company is exempt from the requirement to prepare a cash flow statement on the grounds that it is a wholly owned subsidiary undertaking and a consolidated cash flow statement is given in the financial statements of Howden Joinery Group Plc

The financial statements include the undertakings for the 52 week period ended 25 December 2010, being the Saturday nearest to the Company's accounting reference date of 31 December The comparative period covers the 52 weeks ended 26 December 2009

TURNOVER

Turnover represents the net value of services sold to customers excluding value added tax All turnover arises in the United Kingdom Turnover is recognised on the provision of qualifying services

TAXATION

UK Corporation tax is provided at amounts expected to be paid (or recovered) using tax rules and laws that have been enacted or substantively enacted by the balance sheet date

Deferred taxation is provided on a full provision basis, without discounting, on all timing differences which have arisen but not reversed at the balance sheet date

PENSIONS

i) Defined benefit pension schemes

The Company participates in its parent company's (Howden Joinery Group Plc) group retirement benefit scheme This is a defined benefit arrangement, operating through a multi-employer defined-benefit scheme The assets and liabilities of the scheme are held separately from those of the Howden Joinery Group Plc group ("the Group") The Company is unable to identify its share of the underlying assets and liabilities of the scheme and accordingly accounts for the scheme as if it was a defined contribution scheme This is in line with the guidance in FRS 17 relating to group defined benefit pension schemes

ii) Defined contribution pension schemes

The Group operates a defined contribution scheme for its employees For defined contribution schemes, the amount charged to the profit and loss account in respect of pension costs and other post-retirement benefits is the contributions payable in the year Differences between contributions payable in the year and contributions actually paid are shown as either accruals or prepayments in the balance sheet

SHARE-BASED PAYMENTS

FRS 20 has been applied to all grants of equity instruments after 7 November 2002 that were unvested as of 25 December 2005

The Company issues equity-settled share-based payments to certain employees, based on the shares of its ultimate parent company Howden Joinery Group Plc Equity-settled share-based payments are measured at fair value at the date of grant The fair value determined at the grant date of the equity-settled share based payments is expensed on a straight-line basis over the vesting period, based on the Group's estimate of shares that will eventually vest

Fair value is measured by use of either a binomial model or a Black-Scholes-based model, depending on which model most closely reflects the terms of each individual share-based payment arrangement The expected life used in the model has been adjusted, based on management's best estimate, for the effects of non-transferability, exercise restrictions, and behavioural considerations

2. PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION

The auditors' remuneration of £5,000 *(2009 £5,000)* for audit services was borne by the fellow group subsidiary company Howden Joinery Corporate Services Ltd in the current and prior periods with no right to reimbursement

3. STAFF NUMBERS AND COSTS (INCLUDING DIRECTORS)

The average number of persons (full-time equivalent) employed by the Company during the period was as follows

	25 Dec 2010	26 Dec 2009
	No.	No
Information Systems Services	160	144
Manufacturing	1,227	1,124
	1,387	1,268

The aggregate payroll costs of these persons were as follows	25 Dec 2010	26 Dec 2009
	£000	£000
Wages and salaries	48,206	43,959
Social security costs	3,006	2,838
Other pension costs	12,397	9,665
Share-based payment charge/(credit) (see Note 12)	178	(6)
	63,787	56,456

4. REMUNERATION OF DIRECTORS

No director received any emoluments for services provided to this Company during the current or prior period

5 TAX ON PROFIT ON ORDINARY ACTIVITIES

	25 Dec 2010	26 Dec 2009
	£000	£000
UK corporation tax on ordinary activities	280	670
Adjustments relating to prior years	4	(7)
	284	663

Factors affecting current period corporation tax

The difference between the total current tax shown above and the amount calculated by applying the standard rate of UK Corporation tax to profit before tax is as follows

	25 Dec 2010	26 Dec 2009
	£000	£000
Profit on ordinary activities before taxation for the period	1,266	2,510
Profit on ordinary activities before taxation for the period, multiplied by the standard rate of corporation tax in the UK of 28 0% *(2009 28 0%)*	355	703
Effects of		
Tax deductions on share exercises	(138)	(39)
Amortisation of shares	50	6
Car leasing disallowance	13	-
Prior year adjustment	4	(7)
Current period corporation tax charge	284	663

There is no unprovided deferred tax

6. DEBTORS

	25 Dec 2010 £000	26 Dec 2009 £000
Amounts falling due within one year		
Amounts owed by parent and fellow subsidiary undertakings	**4,761**	4,170

7. CREDITORS

	25 Dec 2010 £000	26 Dec 2009 £000
Amounts falling due within one year		
Corporation tax	**(280)**	(671)

8. AUTHORISED & ISSUED SHARE CAPITAL

	25 Dec 2010 £000	26 Dec 2009 £000
100,000,000 authorised ordinary shares of £1 00 each	**100,000**	100,000
1 allotted, called up, issued, fully paid ordinary share of £1 00	-	-

9 RECONCILIATION OF MOVEMENT IN SHAREHOLDERS' FUNDS

	Share Capital	Profit and Loss Reserve	Share-based payments reserve	Shareholders' Funds
	£'000	£'000	£'000	£'000
At 26 December 2009	-	2,266	1,233	3,499
Profit for the period	-	805	-	805
Share based payments	-	-	178	178
At 25 December 2010	-	**3,071**	**1,411**	**4,482**

10. ULTIMATE PARENT COMPANY AND RELATED PARTY TRANSACTIONS

The Company's parent Company is Howden Joinery Holdings Ltd and the ultimate parent Company and controlling entity is Howden Joinery Group Plc incorporated in Great Britain and registered in England and Wales

The largest and smallest group in which the results of the Company are consolidated is that headed by Howden Joinery Group Plc The consolidated accounts of this group are available to the public and can be obtained from the Registrar of Companies, Companies Registration Office, Crown Way, Maindy, Cardiff CF14 3UZ

The Company is exempt under FRS 8 from the requirement to disclose transactions within the group headed by Howden Joinery Group Plc, on the grounds that it is a wholly owned subsidiary

11. PENSIONS

i) Defined contribution pensions

The Howden Joinery Group Plc group ("the Group") operates a defined contribution scheme for its employees The Company's pension charge for the current year for the defined contribution pension scheme was £0 6m *(2009 £0 6m)* There were no outstanding contributions at the period end

ii) Defined benefit pensions

The Company participates in the Group retirement benefit plan This is a defined benefit multi-employer arrangement, which operates through a funded pension scheme which provides benefits based on the final pensionable pay of participating employees The assets of the scheme are held separately from those of the Group, being invested with independent fund managers The Company is unable to identify its share of the underlying assets and liabilities of the scheme and accordingly accounts for the scheme as if it was a defined contribution scheme This is the prescribed treatment in FRS 17 "Retirement Benefits"

Further information about the Group defined-contribution retirement benefit scheme is available in the Howden Joinery Group Plc statutory accounts The latest actuarial valuation of the Group defined contribution scheme was carried out at 6 April 2008 by the scheme actuary This was subsequently rolled forward to 25 December 2010 by the actuary advising the Group, and restated on a basis consistent with market conditions at that date This exercise showed a scheme deficit at 25 December 2010 of £135 7m *(2009 £196 3m)*, before netting off the associated deferred tax asset The roll-forward was done according to the requirements of International Accounting Standard 19 "Employee Benefits" ("IAS 19", under which the Group reports its results), rather than FRS 17 (under which this Company reports its results) However, management have no reason to believe that there would be any significant difference between a valuation under FRS17 and one under IAS 19 Further details are given in the consolidated financial statements of Howden Joinery Group Plc

The Company's defined benefit pension charge for the year was £11 8m *(2009 £9 1m)* There were no outstanding contributions at the period end

The Group adopted IFRS with effect from 26 December 2004, and therefore the Group consolidated financial statements disclose pension charges, assets, and liabilities in line with IAS 19 *"Employee Benefits"* The Group does not believe that there are any material differences between the net pension deficit and the pension charge under IAS 19, compared to under FRS17 It may therefore be useful to users of these accounts to consult the full IAS 19 disclosures given in the consolidated financial statements of Howden Joinery Group Plc

12. SHARE-BASED PAYMENTS

1) Details of each scheme

There was a charge of £178,067 *(2009 credit of £6,000)* to be recognised by the Company in respect of share-based payments during the period The Group has various share-based payment schemes, which are all equity-settled The main details of all schemes which existed during the period are given below

a) Performance Share Plan

This is a discretionary free share plan where participants have a contingent right to receive free shares with performance conditions attached

The performance period is a measured from the start of the financial period in which the awards are granted The performance period is three years Vesting occurs at the end of the performance period The difference subdivisions and performance conditions are as follows

i) No other condition other than continued employment
ii) 50% of the Options shall be exercisable if the compound annual growth in the Group's Operating Profit over the performance period is at least 10% rising to 100% if compound annual growth over the same period is at least 20%
iii) 25% of the award will vest if 2010 PBT of £110 million is achieved 100% will vest if 2010 PBT of £135 million is achieved The awards will vest on a sliding scale between these two points

b) Deferred Bonus Plan

i) **2008 grant** Under the Co-Investment Plan participants can defer some or all of their cash bonus shares and pledge these deferred shares as "invested shares" under the plan (see below (c)) The deferred share awards in 2008 are the result of participants deferring the cash bonuses awarded to them in March 2008 The shares are held in trust and participants are entitled to dividends during the deferral period A participant can remove the shares from the Trust at any time but as they would no longer be pledged as Invested Shares under the Co-Investment Plan, then unless replaced, the participant would forego the resulting match

ii) **2010 grant:** During the year the Deferred Bonus plan - 2008 grant was lapsed and in accordance with the rules of the Co-Investment Plan an equivalent award of restricted shares was made The shares are held in trust and participants are entitled to dividends during the deferral period A participant can remove the shares from the Trust at any time but as they would no longer be pledged as Invested Shares under the Co-Investment Plan, then unless replaced, the participant would forego the resulting match

c) Co-Investment Plan

This is a co-investment plan where each participant is permitted to invest a limited amount of shares on an annual basis for the purposes of the Plan

i) **2007 award: PBT targets.** At the end of a three year performance period, each invested share will be matched by an award of up to three matching shares if 2010 PBT of £135m is achieved, 25% of the maximum match (i e 0 75 1) will be earned for achieving 2010 PBT of £110 million and the awards will vest on a sliding scale between these two points

ii) **2007 award TSR target** A further match of up to two shares will be made for achieving upper quartile Total Shareholder Return (TSR), measured against FTSE 250 Index (excluding investment trusts)

12. SHARE-BASED PAYMENTS (continued)

d) Foundation Plan

This plan awards nil-cost options, and also options with an exercise price equal to the market price at the date of grant

i) **2006 Awards:** Vesting of awards granted in the form of options with an exercise price equal to the market price at the date of grant vest depended on the achievement of a share price hurdle over thirty consecutive dealing days The exercise price of the options granted in 2006 was 92p 35% of this award vests if the share price achieves 115 pence over thirty consecutive dealing days, and 100% of the award vests if the share price achieves 160 pence over thirty consecutive dealing days The award vests on a straight line basis between these two points Vested awards can be exercised for a period of 12 months from 31 December 2008

ii) **2007 Awards:** These awards were granted in the form of nil cost options and vested on the last day of the 2006/7 financial year to the degree that the performance conditions had been met There is a further deferral period of two years before the vested awards are made available to the participants

Vesting was dependent upon the achievement of a share price hurdle over thirty consecutive dealing days and an underlying profit target of £65m for the year being met 20% of the award vests if the share price achieves 150 pence over thirty consecutive dealing days and 100% of the award vests if the share price achieves 185 pence over thirty consecutive dealing days The award vests on a straight line basis between these two points

e) Executive Share Options

This is a discretionary share option plan These options are granted with an exercise price equal to market value

The vesting period is three years from the date of grant with an exercise period of seven years (i e a total life of ten years) In the information below, these options have been further subdivided according to their different performance conditions, in order to give more meaningful information The different subdivisions and performance conditions are as follows

i) EPS growth must equal RPI + 9% If this is achieved there will be full vesting If this is not achieved there will be no vesting

ii) 20% of the options will vest if the share price over 30 consecutive dealing days is 185 pence rising on a straight line basis to 100% vesting if the share price over 30 consecutive days reaches 265 pence Underpinning this is a requirement to achieve 20% annual compound growth over the performance period

f) *Long Term Incentive Plan*

This is a discretionary plan under which the Company may grant different types of share award including market value and nil cost options, conditional awards of shares and restricted shares (where the employee is the owner of the shares from the date of award but subject to forfeiture) Unless otherwise specified all awards have substantially the same terms

i) Market value options, the vesting period for which is three years from the date of grant with an exercise period of seven years (i e a total life of ten years) Options will vest if cumulative PBT of £90m is achieved over the three financial years ending 2009, 2010 and 2011

ii) Market value which vest after a three year period from the date of grant 15% of the options will vest if the group achieves growth in pre-exceptional PBT equivalent to RPI over the performance period, 100% will vest if pre-exceptional PBT growth is equivalent to RPI + 8% is achieved

iii) Conditional Share Award - shares will vest at the end of a three year period commencing on the date of grant subject to continuing employment

g) *Share Incentive Scheme (Freeshares)*

This is an 'all-employee' share incentive plan whereby participants receive a grant of free shares in the Company If the employees are still employed by the Group three years after the grant, then the shares vest Dividends are paid out on the shares between award date and vesting date There are no other performance conditions attached to these awards

12. SHARE-BASED PAYMENTS (continued)

2) Movements in the period

The following tables the number of weighted average exercise price ("WAEP") of each category of share options during the period, and the movements in each category The significance of options granted before 7 November 2002 is that they have been excluded from the IFRS2 share-bases payment charge on the basis of their grant, as allowed on adoption of IFRS

a) Performance Share Plan

i) no other condition other than continued employment	52 weeks to 25 December 2010	52 weeks to 25 December 2010	52 weeks to 26 December 2009	52 weeks to 26 December 2009
	Number	**WAEP (£)**	Number	WAEP (£)
In issue at beginning of period	**21,000**	**0.00**	23,000	0 00
Granted in period	**0**	**N/A**	0	N/A
Lapsed in period	**(500)**	**0.00**	(1,500)	0 00
Exercised in period	**(20,500)**	**0.00**	(500)	0 00
In issue at end of period	**0**	**N/A**	21,000	0 00
Exercisable at end of period	**N/A**	**N/A**	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	**N/A**		0	
Weighted average share price for options exercised during the period		**0.71**		0 45
Weighted average contractual life remaining for share options outstanding at the period end (years)	**N/A**		0 42	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	**N/A**		0 00	
- to	**N/A**		0 00	

ii) 50% of the Options shall be exercisable if the compound annual growth in the Group's Operating Profit over the performance period is at least 10% rising to 100% if compound annual growth over the same period is at least 20%	52 weeks to 25 December 2010	52 weeks to 25 December 2010	52 weeks to 26 December 2009	52 weeks to 26 December 2009
	Number	**WAEP (£)**	Number	WAEP (£)
In issue at beginning of period	**171,987**	**0.00**	171,987	0 00
Granted in period	**0**	**N/A**	0	N/A
Lapsed in period	**(171,987)**	**0 00**	0	N/A
Exercised in period	**0**	**N/A**	0	N/A
In issue at end of period	**0**	**N/A**	171,987	0 00
Exercisable at end of period	**N/A**	**N/A**	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	**N/A**		0	
Weighted average share price for options exercised during the period		**N/A**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**N/A**		0 42	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	**N/A**		0 00	
- to	**N/A**		0 00	

12. SHARE-BASED PAYMENTS (continued)

a) Performance Share Plan

iii) 25% of the award will vest if 2010 PBT of £110 million is achieved. 100% will vest if 2010 PBT of £135 million is achieved. The awards will vest on a sliding scale between these two points.	**52 weeks to 25 December 2010**	**52 weeks to 25 December 2010**	52 weeks to 26 December 2009	52 weeks to 26 December 2009
	Number	**WAEP (£)**	Number	WAEP (£)
In issue at beginning of period	**118,521**	**0.00**	118,521	0 00
Granted in period	**0**	**N/A**	0	N/A
Lapsed in period	**0**	**N/A**	0	N/A
Exercised in period	**0**	**N/A**	0	N/A
In issue at end of period	**118,521**	**0.00**	118,521	0 00
Exercisable at end of period	**0**	**N/A**	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	**N/A**		0	
Weighted average share price for options exercised during the period		**N/A**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0.25**		1 00	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	**0.00**		0 00	
- to	**0.00**		0 00	

b) Deferred Bonus Plan

i) 2008 grant	**52 weeks to 25 December 2010**	**52 weeks to 25 December 2010**	52 weeks to 26 December 2009	52 weeks to 26 December 2009
	Number	**WAEP (£)**	Number	WAEP (£)
In issue at beginning of period	**188,791**	**0 00**	188,791	0 00
Granted in period	**0**	**N/A**	0	N/A
Lapsed in period	**(188,791)**	**0.00**	0	N/A
Exercised in period	**0**	**N/A**	0	N/A
In issue at end of period	**0**	**N/A**	188,791	0 00
Exercisable at end of period	**N/A**	**N/A**	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	**N/A**		0	
Weighted average share price for options exercised during the period		**N/A**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**N/A**		1 25	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	**N/A**		0 00	
- to	**N/A**		0 00	

12 SHARE-BASED PAYMENTS (continued)

b) Deferred Bonus Plan

ii) 2010 grant	52 weeks to 25 December 2010	52 weeks to 25 December 2010	52 weeks to 26 December 2009	52 weeks to 26 December 2009
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	0	N/A	N/A	N/A
Granted in period	188,791	0 00	N/A	N/A
Lapsed in period	0	N/A	N/A	N/A
Exercised in period	(77,560)	0.00	N/A	N/A
In issue at end of period	111,231	0.00	N/A	N/A
Exercisable at end of period	0	N/A	N/A	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		N/A	
Weighted average share price for options exercised during the period		0.80		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.25		N/A	
Weighted average fair value of options granted during the period (£)	0.79		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0.00		N/A	
- to	0.00		N/A	

c) Co-investment Plan

i) Executive Co-investment Plan: 2007 award, PBT target	52 weeks to 25 December 2010	52 weeks to 25 December 2010	52 weeks to 26 December 2009	52 weeks to 26 December 2009
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	780,000	0.00	780,000	0 00
Granted in period	0	N/A	0	N/A
Lapsed in period	0	N/A	0	N/A
Exercised in period	0	N/A	0	N/A
In issue at end of period	780,000	0 00	780,000	0 00
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.25		1 00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0.00		0 00	
- to	0.00		0 00	

12. SHARE-BASED PAYMENTS (continued)

c) Co-investment Plan

ii) Executive Co-investment Plan: 2007 award, TSR target	**52 weeks to 25 December 2010**	**52 weeks to 25 December 2010**	52 weeks to 26 December 2009	52 weeks to 26 December 2009
	Number	**WAEP (£)**	Number	WAEP (£)
In issue at start of period	**520,000**	**0.00**	520,000	0 00
Granted in period	**0**	**N/A**	0	N/A
Lapsed in period	**0**	**N/A**	0	N/A
Exercised in period	**0**	**N/A**	0	N/A
In issue at end of period	**520,000**	**0.00**	520,000	0 00
Exercisable at end of period	**0**	**N/A**	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**N/A**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0.25**			
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	**0.00**		0 00	
- to	**0.00**		0 00	

d) Foundation Plan

i) 2006 award - Market-value Options	**52 weeks to 25 December 2010**	**52 weeks to 25 December 2010**	52 weeks to 26 December 2009	52 weeks to 26 December 2009
	Number	**WAEP (£)**	Number	WAEP (£)
In issue at beginning of period	**358,210**	**0.92**	358,210	0 92
Granted in period	**0**	**N/A**		N/A
Lapsed in period	**(358,210)**	**0.92**		N/A
Exercised in period	**0**	**N/A**		N/A
In issue at end of period	**0**	**N/A**	358,210	0 92
Exercisable at end of period	**N/A**	**N/A**	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	**N/A**		0	
Weighted average share price for options exercised during the period		**N/A**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**N/A**		0 00	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	**N/A**		0 92	
- to	**N/A**		0 92	

12. SHARE-BASED PAYMENTS (continued)

d) Foundation Plan

ii) 2007 award - Nil Cost Options	**52 weeks to 25 December 2010**	**52 weeks to 25 December 2010**	52 weeks to 26 December 2009	52 weeks to 26 December 2009
	Number	**WAEP (£)**	Number	WAEP (£)
In issue at beginning of period	**162,857**	**0.00**	360,000	0 00
Granted in period	**0**	**N/A**	0	N/A
Lapsed in period	**0**	**N/A**	(197,143)	0 00
Exercised in period	**(162,857)**	**0.00**	0	N/A
In issue at end of period	**0**	**N/A**	162,857	0 00
Exercisable at end of period	**N/A**	**N/A**	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	**N/A**		0	
Weighted average share price for options exercised during the period		**0.75**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**N/A**		0 00	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	**N/A**		0 00	
- to	**N/A**		0 00	

e) Executive Share Options

i) Full vesting if EPS increases by RPI + 9%	**52 weeks to 25 December 2010**	**52 weeks to 25 December 2010**	52 weeks to 26 December 2009	52 weeks to 26 December 2009
	Number	**WAEP (£)**	Number	WAEP (£)
In issue at beginning of period	**489,652**	**1.05**	527,652	1 04
Granted in period	**0**	**N/A**	0	N/A
Lapsed in period	**(28,981)**	**1.05**	(38,000)	1 00
Exercised in period	**0**	**N/A**	0	N/A
In issue at end of period	**460,671**	**1.05**	489,652	1 05
Exercisable at end of period	**460,671**	**1.05**	489,652	1 05
Number of options in the closing balance that were granted before 7 November 2002	**269,056**		489,652	
Weighted average share price for options exercised during the period		**N/A**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0.00**		0 00	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	**1.00**		1 00	
- to	**1.39**		1 39	

12. SHARE-BASED PAYMENTS (continued)

e) Executive Share Options

ii) 20% of the options will vest if the share price over 30 consecutive dealing days is 185p rising on a straight line basis to 100% vesting if the share price over 30 consecutive days reaches 265p. Underpinning this is a requirement to achieve 20% annual compound growth over the performance period.	**52 weeks to 25 December 2010**	**52 weeks to 25 December 2010**	52 weeks to 26 December 2009	52 weeks to 26 December 2009
	Number	**WAEP (£)**	Number	WAEP (£)
In issue at beginning of period	**504,732**	**1.59**	504,732	1 59
Granted in period	**0**	**N/A**	0	N/A
Lapsed in period	**(504,732)**	**1 59**	0	N/A
Exercised in period	**0**	**N/A**	0	N/A
In issue at end of period	**0**	**0.00**	504,732	1 59
Exercisable at end of period	**N/A**	**N/A**	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	**N/A**		0	
Weighted average share price for options exercised during the period		**N/A**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**N/A**		0 42	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	**1.59**		1 59	
- to	**1.59**		1 59	

f) Long Term Incentive Plan - Options

i) cumulative PBT of £90m over three financial years ending 2009, 2010 and 2011	**52 weeks to 25 December 2010**	**52 weeks to 25 December 2010**	52 weeks to 26 December 2009	52 weeks to 26 December 2009
	Number	**WAEP (£)**	Number	WAEP (£)
In issue at beginning of period	**2,463,028**	**0 37**	0	N/A
Granted in period	**0**	**N/A**	2,463,028	0 37
Lapsed in period	**0**	**N/A**	0	0 00
Exercised in period	**0**	**N/A**	0	0 00
In issue at end of period	**2,463,028**	**0.37**	2,463,028	0 37
Exercisable at end of period	**0**	**N/A**	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**N/A**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**1.33**		2 33	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	**0.25**		0 25	
- to	**0.50**		0 50	

12. SHARE-BASED PAYMENTS (continued)

f) Long Term Incentive Plan - Options

ii) 2012 PBT increase by between RPI and RPI + 8%	52 weeks to 25 December 2010	52 weeks to 25 December 2010	52 weeks to 26 December 2009	52 weeks to 26 December 2009
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	0	N/A	N/A	N/A
Granted in period	707,306	0.81	N/A	N/A
Lapsed in period	0	N/A	N/A	N/A
Exercised in period	0	N/A	N/A	N/A
In issue at end of period	707,306	0.81	N/A	N/A
Exercisable at end of period	0	N/A	N/A	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		N/A	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	2.33		N/A	
Weighted average fair value of options granted during the period (£)	0.44		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0.81		N/A	
- to	0.81		N/A	

iii) Conditional Share Award - subject to continuing employment	52 weeks to 25 December 2010	52 weeks to 25 December 2010	52 weeks to 26 December 2009	52 weeks to 26 December 2009
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	0	N/A	N/A	N/A
Granted in period	12,700	0.00	N/A	N/A
Lapsed in period	(500)	0.00	N/A	N/A
Exercised in period	(100)	0.00	N/A	N/A
In issue at end of period	12,100	0 00	N/A	N/A
Exercisable at end of period	0	N/A	N/A	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		N/A	
Weighted average share price for options exercised during the period		0.79		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	2.33		N/A	
Weighted average fair value of options granted during the period (£)	0.81		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0.00		N/A	
- to	0.00		N/A	

12. SHARE-BASED PAYMENTS (continued)

g) Share inventive scheme (Freeshares)

	52 weeks to 25 December 2010	**52 weeks to 25 December 2010**	52 weeks to 26 December 2009	52 weeks to 26 December 2009
	Number	**WAEP (£)**	Number	WAEP (£)
In issue at beginning of period	**24,135**	**0.00**	27,490	0 00
Granted in period			0	N/A
Lapsed in period			(478)	0 00
Exercised in period	**(13,580)**		(2,877)	0 00
In issue at end of period	**10,555**	**0 00**	24,135	0 00
Exercisable at end of period	**10,555**	**0.00**	24,135	0 00
Number of options in the closing balance that were granted before 7 November 2002	**10,555**		24,135	
Weighted average share price for options exercised during the period		**0.78**		0 00
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0.00**		0 00	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	**0.00**		0 00	
- to	**0.00**		0 00	

3) Fair value of options granted

The fair value of all options granted except Sharesave is estimated on the date of grant using binomial option valuation model Sharesave schemes are valued using Black Scholes model as they are not considered to be of such complexity that they require a binomial model The key assumptions used in the models were

	52 weeks to 25 December 2010	52 weeks to 26 December 2009
Dividend yield (%)	**0.0**	0 71
Expected share price volatility (%)	**50.0 to 52.0**	46 0
Historical volatility (%)	**50.0 to 52.0**	46 0
Risk-free interest rate (5)	**2.79 to 3.18**	4 5
Expected life of options (years)	**6.4 to 6.5**	2 6

Historical volatility is measured for each scheme over the period equal to the vesting period of the scheme The figure arrived at is then used as the best estimate of expected future volatility